

Part III

Intellectual Foundations

"The purpose of reading the classics is not to preserve old ideas, but to understand the intellectual foundations upon which new ideas are built."

Overview

This course is built upon a simple premise:

Artificial intelligence does not replace strategic management—it transforms the context in which strategic management operates.

Consequently, understanding strategy in the age of AI requires students to master two complementary bodies of scholarship.

The first consists of the foundational theories that have shaped strategic management over the past five decades.

The second consists of contemporary research examining how artificial intelligence changes organizations, competitive advantage, leadership, decision making, knowledge creation, and firm performance.

Rather than studying these literatures independently, students will place them into direct dialogue.

Every week asks the same overarching question:

How should strategic management theory evolve in the age of artificial intelligence?

Learning Philosophy

Unlike traditional strategy courses, students will not simply memorize frameworks.

Instead they will:

- understand the original theory,
- evaluate its assumptions,
- analyze contemporary AI research,
- compare competing perspectives,
- determine whether AI reinforces or challenges the theory,
- propose how the theory should evolve.

The objective is to develop scholars and executives capable of extending existing knowledge rather than simply applying established frameworks.

The Classical Strategy Canon

The following ten papers form the intellectual foundation of modern strategic management.

Every strategy student should understand these works before graduating.

Theme	Reading	Why It Matters
Strategic Positioning	Porter, M. E. (1996). <i>What Is Strategy?</i> <i>Harvard Business Review</i> , 74(6), 61–78.	Defines competitive positioning and strategic trade-offs.
Resource-Based View	Barney, J. B. (1991). Firm resources and sustained competitive advantage. <i>Journal of Management</i> , 17(1), 99–120.	Explains competitive advantage through strategic resources.
Resource-Based View Origins	Wernerfelt, B. (1984). A resource-based view of the firm. <i>Strategic Management Journal</i> , 5(2), 171–180.	Introduces the resource-based perspective.
Dynamic Capabilities	Teece, D. J., Pisano, G., & Shuen, A. (1997). Dynamic capabilities and strategic management. <i>Strategic Management Journal</i> , 18(7), 509–533.	Explains adaptation in rapidly changing environments.
Dynamic Capabilities Extension	Teece, D. J. (2007). Explicating dynamic capabilities. <i>Strategic Management Journal</i> , 28(13), 1319–1350.	Provides the microfoundations of strategic renewal.
Organizational Learning	March, J. G. (1991). Exploration and exploitation in organizational learning. <i>Organization Science</i> , 2(1), 71–87.	Examines innovation and organizational learning.
Knowledge-Based View	Grant, R. M. (1996). Toward a knowledge-based theory of the firm. <i>Strategic Management Journal</i> , 17(Winter Special Issue), 109–122.	Positions knowledge as the firm's most important strategic asset.
Core Competence	Prahalad, C. K., & Hamel, G. (1990). The core competence of the corporation. <i>Harvard Business Review</i> , 68(3), 79–91.	Explains organizational capabilities as sources of competitive advantage.
Transaction Cost Economics	Williamson, O. E. (1979). Transaction-cost economics: The governance of contractual relations. <i>Journal of Law and Economics</i> , 22(2), 233–261.	Explains organizational boundaries and governance.
Competing Perspectives	Eisenhardt, K. M., & Martin, J. A. (2000). Dynamic capabilities: What are they? <i>Strategic Management Journal</i> , 21(10–11), 1105–1121.	Challenges and extends the dynamic capabilities perspective.

Contemporary AI Strategy Canon

The following readings represent the emerging literature on artificial intelligence and strategic management. Collectively, they provide the contemporary counterpart to the classical strategy canon.

Theme	Reading	Why It Matters
AI Strategy	Hutzschenreuter, T., et al. (2025). <i>What Is Your AI Strategy? Systematically Integrating Self-Assessment into AI Strategy Development. Academy of Management Perspectives.</i>	Develops a structured framework for organizational AI strategy.
Strategic Planning	Biloslavo, R., et al. (2024). Artificial intelligence and the strategic planning process within VUCA environments: A research agenda and guidelines. <i>Futures.</i>	Examines how AI transforms strategic planning.
Human–AI Collaboration	Jarrah, M. H. (2018). Artificial intelligence and the future of work: Human–AI symbiosis in organizational decision making. <i>Business Horizons</i> , 61(4), 577–586.	Explains collaborative decision making between humans and AI.
AI Decision Structures	Shrestha, Y. R., Ben-Menahem, S., & von Krogh, G. (2019). Organizational decision-making structures in the age of artificial intelligence. <i>California Management Review</i> , 61(4), 66–83.	Examines organizational redesign for AI-enabled decisions.
Hybrid Intelligence	Dellermann, D., Ebel, P., Söllner, M., & Leimeister, J. M. (2019). Hybrid intelligence. <i>Business & Information Systems Engineering</i> , 61(5), 637–643.	Introduces principles for integrating human and machine intelligence.
AI and Leadership	von Krogh, G. (2018). Artificial intelligence in organizations: New opportunities for phenomenon-based theorizing. <i>Academy of Management Discoveries</i> , 4(4), 404–409.	Explores AI's implications for management theory.
Algorithmic Management	Kellogg, K. C., Valentine, M. A., & Christin, A. (2020). Algorithms at work: The new contested terrain of control. <i>Academy of Management Annals</i> , 14(1), 366–410.	Investigates algorithmic management and organizational control.
Human–AI Teams	Makarius, E. E., et al. (2020). Human–AI collaboration in organizations: A review and research agenda. <i>Business Horizons</i> , 63(6), 813–825.	Reviews organizational implications of human–AI collaboration.
Digital Platforms	Rai, A., Constantinides, P., & Sarker, S. (Selected article). <i>MIS Quarterly.</i>	Explores AI-enabled digital platforms and ecosystems.
AI & Dynamic Capabilities	Selected recent article by David J. Teece on AI, digital transformation, and dynamic capabilities.	Extends dynamic capabilities into the AI era.

Instructor Note: The final two readings should be updated before each offering of the course to reflect the most influential recent publications. This keeps the course at the research frontier while preserving a stable theoretical core.

Weekly Scholarly Dialogue

The defining feature of this course is the deliberate pairing of classical and contemporary scholarship.

Week	Classical Strategy	Contemporary AI
1	Porter (1996)	Hutzschenreuter et al. (2025)
2	Barney (1991)	Biloslavo et al. (2024)
3	Teece, Pisano & Shuen (1997)	Recent AI & Dynamic Capabilities article
4	March (1991)	Jarrahi (2018)
5	Grant (1996)	Shrestha et al. (2019)
6	Prahalad & Hamel (1990)	Dellermann et al. (2019)
7	Williamson (1979)	Kellogg et al. (2020)
8	Wernerfelt (1984)	Rai et al. (<i>MIS Quarterly</i>)
9	Teece (2007)	von Krogh (2018)
10	Course Synthesis	Makarius et al. (2020)

Reading Strategy

Students are expected to approach every reading using four questions.

Question 1

What is the central theoretical contribution?

Question 2

What assumptions does the author make about organizations, managers, technology, or competition?

Question 3

How does the AI reading reinforce, extend, or challenge those assumptions?

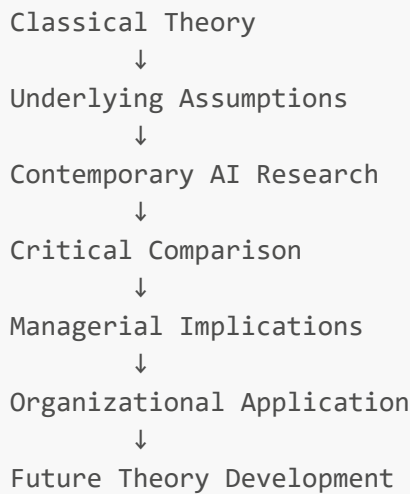
Question 4

If the classical author were writing today, how might the theory change?

These questions provide the intellectual foundation for class discussions, written reflections, AI laboratories, and the semester consulting project.

Integrative Reading Framework

Every week's readings are organized around the following progression:



Students move beyond understanding existing theories to evaluating how those theories should evolve in response to AI-enabled organizations.

Intellectual Contribution of the Course

Most strategy courses teach the strategic management canon.

Most AI courses teach contemporary technologies.

This course intentionally combines both traditions through a structured scholarly dialogue.

Rather than asking students to choose between classical strategy and artificial intelligence, the curriculum demonstrates that meaningful strategic leadership requires understanding both. By critically comparing foundational theories with emerging AI research, students develop the analytical skills needed to interpret, adapt, and extend strategic management for a rapidly changing technological landscape.

The goal is not simply to prepare students for today's AI tools, but to equip them with the intellectual framework necessary to evaluate future technological developments that have yet to emerge. In doing so, the course encourages students to become active participants in the continuing evolution of strategic management as both a scholarly discipline and a managerial practice.